

US CONVICTION LIST - DIRECTORS' CUT

August 2026 Update - Stocks for a broadening market

US Conviction List - Directors' Cut

See the list >



We add Applied Materials (AMAT), Delta Airlines (DAL), Microsoft (MSFT), O'Reilly Automotive (ORLY), Viking Holdings (VIK), and United Parcel Service (UPS) to the US Conviction List, while removing Broadcom (AVGO), Dick's Sporting Goods (DKS), Johnson & Johnson (JNJ), and ServiceNow (NOW). We have a brief summary of these adds below, and include a more detailed write-up within, along with market commentary, a review of list performance and earnings catalysts.

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Exhibit 1: Conviction List - Directors' Cut August Update

All price targets are 12-months; Prices are as of 7/31; green indicates new

Ticker	Company	Mkt Cap (\$bn)	Price	Price Tgt	% upside	GS vs. Cons* **	Street % Buy
Consumer							
EL	Estee Lauder Cos Inc/The	30.4	\$84	\$100	19%	8%	41%
ORLY	O'Reilly Automotive Inc	72.9	\$89	\$113	26%	3%	83%
TSN	Tyson Foods Inc	20.4	\$58	\$81	40%	4%	33%
VIK	Viking Holdings Ltd	46.6	\$104	\$120	15%	2%	86%
Financials							
CFG	Citizens Financial Group Inc	30.3	\$72	\$84	17%	0%	77%
IBKR	Interactive Brokers Group Inc	149.6	\$88	\$122	39%	-3%	83%
TPG	TPG Inc	16.8	\$44	\$63	44%	9%	75%
WFC	Wells Fargo & Co	261.4	\$86	\$102	18%	2%	64%
Healthcare							
UNH	UnitedHealth Group Inc	376.3	\$414	\$490	18%	3%	80%
Industrial							
APD	Air Products and Chemicals Inc	65.7	\$295	\$360	22%	1%	63%
CSL	Carlisle Cos Inc	14.3	\$360	\$475	32%	2%	50%
CWST	Casella Waste Systems Inc	5.7	\$90	\$120	34%	0%	73%
DAL	Delta Air Lines Inc	57.5	\$87	\$116	33%	2%	96%
LOAR	Loar Holdings Inc	6.4	\$68	\$102	49%	1%	83%
UPS	United Parcel Service Inc	88.6	\$104	\$132	27%	1%	48%
Natural Resources							
COP	ConocoPhillips	146.8	\$120	\$140	16%	2%	72%
GLNG	Golar LNG Ltd	5.0	\$49	\$66	34%	6%	83%
NXT	Nextpower Inc	13.6	\$90	\$141	57%		93%
TMT							
AMAT	Applied Materials Inc	403.1	\$508	\$645	27%	2%	88%
CLS	Celestica Inc	38.2	\$331	\$505	52%	13%	92%
DASH	DoorDash Inc	85.5	\$196	\$280	43%	1%	79%
MSFT	Microsoft Corp	3,450.8	\$465	\$640	38%	3%	95%
XYZ	Block Inc	48.4	\$81	\$103	27%	7%	80%

*EPS:AMAT,APD,CFG,CLS,DAL,EL,IBKR,MSFT,NXT,ORLY,TPG,TSN,UNH,UPS,WFC,XYZ;EBITDA:COP,CSL,CWST,DASH,GLNG,LOAR,VIK

**Excludes NXT GS vs Cons comparison for this period due to lack of comparability

Source: Goldman Sachs Global Investment Research, Bloomberg

For **AMAT**, Jim Schneider's bottom-up analysis suggests that Applied Materials is

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well positioned to gain share at top DRAM companies and leading foundries like TSMC. In particular, the company has outsized exposure to deposition and etch – the machines needed to make the smallest, most energy efficient, and feature-packed chips in advanced logic and stacked memory structures. AMAT's portfolio of critical tools provide it with a competitive advantage that should help it drive pricing power and gain share.

For **DAL**, Catie O'Brien sees the company as best positioned to capitalize on the industry's newfound pricing power, which is in part the result of past industry consolidation. DAL has greater exposure to international and business customers that provides it with access to more customers that can pay more for flights in a global K-shaped economy and has simultaneously been able to upgrade its offering within its planes to sustain higher revenue. When combined with an out of consensus view on unit cost inflation (less), O'Brien is calling for 300 bps of margin expansion over the next two years.

For **MSFT**, Gabriela Borges highlights the company's ideal position as the AI revolution moves from a trade focused on training and infrastructure to the early stages of 'how to make AI work in enterprises.' She sees MSFT delivering the AI solutions and integration that enterprises want and need – leveraging on its 50 year legacy of being the premier enterprise Tech company in the world. MSFT can provide the layer that marries AI models with business-specific context, and dynamically route across AI models to drive cost in any given performance envelope. June quarter results provided a meaningful step in reversing the stock's multi-quarter period of underperformance, as MSFT delivered tangible proof points across several key investor debates, including: Azure acceleration; improving AI unit economics; and increasing evidence of Copilot monetization. Look for improved monetization to drive EPS growth acceleration over the next three years, from 12% in FY27E to >20% in FY29E.

For **ORLY**, Kate McShane believes the auto parts retailer is well-positioned relative to peers and is gaining share in the "Do it for Me" (DIFM) market. McShane recently refreshed her store overlap analysis for the three main auto part retailers and notes a more favorable positioning competitively for O'Reilly stores: when compared to peers Advance Auto Parts and AutoZone, she notes that O'Reilly also has less competition within a five/ten mile radius of their store base. Additionally the company is taking advantage of recent share pressure by accelerating share repurchases, while simultaneously reinvesting in the business, both of which should aid EPS growth in the near and longer term.

For **UPS**, Jordan Alliger believes the global packaging and supply chain company is on the cusp of a sustained revenue and profit inflection following three years of erosion, as it has finally weaned itself off the lower margin portion of its Amazon shipping contract, reset and rightsized its network to take out significant structural cost, and is embracing technology and network enhancements that put it on a much smoother road to productivity, and in turn profit growth. Look for business gains with higher margin SMB, healthcare, and even datacenter customers, plus revenue capture related to global complexity to help drive a sustained 4%-6% annual increase in revenue through 2028 — this following a 12% aggregate loss of revenue over the past 3 years. Alliger expects UPS to grow EBITDA by over 20% over the next 3 years, recapturing much of the profitability it lost from 2023 through 2025, and for EPS to grow to \$9.00 in 2028 from less than \$7 in 2025, providing a strong roadway for stock price appreciation even if the stock

struggles to expand its 'depressed' NTM P/E multiple of 13.4X.

For **VIK**, Lizzie Dove believes that VIK's differentiated geographic exposure and higher-income demographic should more than offset a choppier cruise environment – this in a world where there has been uncertainty around cruise and the consumer more generally. Look for VIK to continue to deliver best-in-class pricing growth and top of best-in-class capacity growth through 2H26 and into 2027. Her estimates sit 2% above consensus.

Market Commentary

On the last day of July, the market offered up perhaps its best illustration of just how difficult a trading environment it has become: Korea's KOSPI gained almost 18% in one day of trading. For perspective, in the post-GFC era, the KOSPI went through a 5+ year period from 2010 through 2016 when the index never moved up or down by that amount — for all 5+ years!

So what's going on? Lost in the discussion about how much US stocks like MU sold off in July is the reminder about how much MU gained in June. After everything that has happened in the memory stock market over the past month, for example, MU is still trading at the same price that it saw on May-26 (about 2 months ago). So, if you bought the stock 3 months ago, you are still up on the trade. That is the definition of a 'blowing off the top' trade. July was less about fundamentals and more about removing some retail-driven froth from the top of the glass.

But that isn't to say that July wasn't filled with fundamental drivers. And some of the information we gleaned in July will likely have implications for August and beyond — and provides alpha opportunities for nimble investors in our view — including:

- **Datacenter Monetization.** For all the trepidation that built up last month around whether we had reached peak data center spending or whether the hyperscalers could ever earn a return on the spending that they have already done, the Big 3 all reported very solid results that appear to confirm that the AI trade is alive and well. AMZN, in particular, provided strong visibility on how it is monetizing its compute power, leveraging its use of custom silicon, and developing AI tools of its own that customers can pay for as Eric Sheridan discussed in [“AMZN Q2'26 Review.”](#) And MSFT also set a positive tone with Gabriela Borges describing the quarter as one where the company delivered on several key investor debates, including an Azure acceleration against ongoing capacity constraints, and improving AI unit economics with stable cloud margins, and increasing evidence of Copilot monetization (see [“MSFT 4QFY: Microsoft's role is increasingly strategic as enterprises move from frontier models to frontier ecosystems”](#)).

On the way to monetizing all of this datacenter capacity you need to fund it, and Amanda Lynam dove deep into how companies — both hyperscalers and others — are tapping into debt markets — both private and public — in two Credit notes this month: [“AI-Related Debt Issuance: Framing the Scale and Scope”](#) and [“Credit Notes: Expectations for Hyperscaler Debt Issuance: A Top-Down Approach.”](#) Against this backdrop, we add **MSFT** plus semiconductor equipment supplier **AMAT** to the CL this month. Other stocks on the CL with notable AI or datacenter exposure include **CLS** and **NXT**.

- **The Fed.** We went into this week's Fed meeting with the highest likelihood of a tightening surprise that we've seen in over 30 years. But, alas, no surprise was presented, as David Mericle discussed in [“FOMC Recap: No Hike and No Guidance.”](#) And while a Fed funds rate hike may still come later this year (the market is pricing at least one hike in), we do not think you will see any change in the Fed funds rate until 2027 — at which time we may see rate cuts, not hikes.

Rates, of course, have an impact on every stock's valuation but those stocks on the CL that are fundamentally impacted by changes to interest rate expectations or the rates curve, include **WFC, CFG, IBKR, and TPG**.

- **2Q earnings.** July has brought the bulk of 2Q earnings season already and so far, the 22% EPS growth high hurdle appears to have been scaled. Mega-cap Tech in particular has delivered strong results with earnings from GOOGL, MSFT, and AMZN all coming in better than expected. MSFT and AMZN are up 20%+ and 13%+ respectively this month alone as investors lean into the hyperscalers even as they have shied away from many of the component makers tied to datacenters.

Stocks on the CL scheduled to report results in August include: **TSN, TPG, DASH, XYZ, LOAR, COP, CWST, GLNG, EL, and DKS**.

- **War.** Lost in the noise of the AI momentum trade this month has been the ongoing disruption to oil flows through the Strait of Hormuz along with new disruptions to Red Sea flows (see Yulia Grigsby's Jul-27 note, "Oil Tracker: Persian Gulf De-escalation vs. Red Sea Escalation"). Jan Hatzius discussed the tension that the conflict brings on the economy in a Jul-19 note, "Global Views: Renewed Escalation vs. Lower Inflation." And downstream from oil we find of course the products that we consume — gasoline, diesel, jet fuel and more. Grigsby also points out that disruptions to Russia's refinery complex coupled with sub-seasonal run rates in China are driving down refined product output globally (see "Global Refinery Runs at Post-Pandemic Seasonal Lows"). And now, diesel refining margins have reached their highest level ever in Europe (see "Oil Products Tracker: European Diesel Margin Reaches All-Time High").

We add 4 stocks to the CL this month that are big consumers of energy (or their customers are), including **UPS, VIK, ORLY, and DAL**. Although, our analysts believe that fundamental drivers within each company can overcome any further energy headwinds. Also, on the CL already, we have four more stocks with close ties to energy revenues or input costs, include: **COP, CWST, GLNG, and NXT**.

- **Inflation.** The implications of a 5-month energy crisis should be higher inflation and indeed July headline PCE inflation came in at 3.67% yoy this week — 87bp higher than the 2.80% inflation rate we saw in February prior to the start of the US-Iran War. Core PCE inflation has also accelerated, but by only 32 bp, rising to 3.29% yoy in June from 2.97% in February. And the impact on core prices was showing signs of dissipating in June as it came down from an apparent peak in May. Overall, we expect core inflation to remain benign in the coming months. Key to watch: will prolonged oil shortages start to weigh on core PCE inflation more. See "USA: Q2 GDP Below Expectations but Composition Strong; Core PCE Slightly Below Expectations; Initial Claims Roughly in Line With Expectations; Launching Q3 GDP Tracking at +2.4%" for a discussion of the latest inflation data.

Prolonged inflation headwinds could weigh on fundamental performance at consumer facing companies like **DASH, EL, ORLY, TSN** and **VIK**. But so far, many consumer companies have been successfully navigating 5 months of war-induced

inflation headwinds. And this month, we add **DAL** to the list, partly because Catie O'Brien sees a path to sustained pricing power at the airline even once jet fuel prices recede.

- **Growth resilience.** Also lost in the AI narrative this month has been the continued resilience of the US consumer. Even as that consumer has had to digest higher inflation and the uncertainty that comes alongside a prolonged Middle East conflict, she has kept shopping in stores and flying on planes. 2Q26 GDP growth came in below expectations this week at 1.5%, but the consumer components were actually very encouraging (see note above). Private domestic final sales adjusted to account for the value of AI investment that is imported rose 3.3% annualized.

How to position in a market with so much underlying volatility? Just as we exit July, the AI trade appears to be staging a comeback. And admittedly, AI has been a terrific trade since the introduction of Chat GPT in November 2022. But over the last two months, the equal-weighted S&P 500 has outperformed the SPX by ~435 bps and correlations at the index level have dropped near decade lows – a good backdrop for stock picking assuming fundamentals drive stocks over time. Ben Snider provided three themes to lean into that are not AI in a Jul-17 Kickstart appropriately titled, “Three investment themes that are not AI.”

1. Consumer experience stocks (including **VIK** and **DAL** on the CL)
2. Compounders (notably **LOAR**, **ORLY**, and **UNH** on the CL), and
3. M&A candidates (including **COP** and **GLNG** on the CL)

Conviction List - what has worked, what has not and what has changed

We provide the performance of each name on the list for the month of June and the life-to-date total return relative to the S&P 500 Index and the S&P 500 equal-weighted Index in the table below. Additionally, we present the Conviction List "hit rate" – a simple measure of the performance that calculates the percentage of stocks that have outperformed the stated benchmark during their time on the list, since inception. Lastly, we provide commentary on select names that saw strength and weakness during the month and highlight the names that were added to and removed from the list.

Exhibit 2: Conviction List - Directors' Cut stock performance

July and life-to-date returns

Ticker	Name	Calendar Days on the List	July 2026	Life-to-Date Return Rel to S&P 500	Life-to-Date Return Rel to EW S&P 500	Life-to-Date Return Rel to Coverage	Life-to-Date Return Rel to GIC Sector
COP	ConocoPhillips	152	15.9%	-2.4%	1.2%	-3.2%	-1.0%
TPG	TPG Inc	61	7.7%	3.6%	-0.8%	-0.4%	-8.2%
XYZ	Block Inc	61	6.9%	8.3%	3.9%	4.3%	-3.5%
DASH	DoorDash Inc	180	6.3%	-12.7%	-13.7%	-14.7%	-0.3%
EL	Estee Lauder Cos Inc/The	31	6.3%	6.3%	5.3%	6.2%	3.9%
WFC	Wells Fargo & Co	31	4.6%	4.7%	3.6%	4.6%	-1.6%
CFG	Citizens Financial Group Inc	122	2.9%	6.0%	8.6%	5.8%	5.4%
TSN	Tyson Foods Inc	61	1.2%	-3.2%	-7.6%	-7.2%	-7.5%
APD	Air Products and Chemicals Inc	304	1.2%	-2.1%	-3.8%	-3.7%	-3.0%
IBKR	Interactive Brokers Group Inc	92	1.1%	6.6%	4.6%	4.0%	1.2%
¹ SPW	S&P 500 Equal Weight		1.0%				
	GS Americas Coverage		0.0%				
SPX	S&P 500		-0.1%				
UNH	UnitedHealth Group Inc	92	-0.3%	8.3%	6.3%	5.7%	0.7%
CSL	Carlisle Cos Inc	122	-0.8%	-6.9%	-4.3%	-7.1%	-3.2%
GLNG	Golar LNG Ltd	180	-1.4%	13.8%	12.8%	11.8%	4.1%
CWST	Casella Waste Systems Inc	61	-7.5%	10.2%	5.8%	6.2%	5.0%
CLS	Celestica Inc	243	-9.1%	-14.0%	-17.5%	-17.0%	-26.8%
LOAR	Loar Holdings Inc	152	-15.1%	-12.7%	-9.1%	-13.4%	-5.4%
NXT	Nextpower Inc	31	-24.6%	-24.5%	-25.6%	-24.6%	-21.7%

² Conviction List hit rate (n = 123 LTD; n=52 TTM)

Relative to:	July 2026	TTM	LTD
S&P 500	62%	48%	48%
S&P 500 Equal Weight	57%	48%	50%
GICS Sector	43%	46%	49%
GS Americas Coverage	62%	50%	52%

Added to the list this month

Ticker	Name
AMAT	Applied Materials Inc
DAL	Delta Air Lines Inc
MSFT	Microsoft Corp
ORLY	O'Reilly Automotive Inc
UPS	United Parcel Service Inc
VIK	Viking Holdings Ltd

Removed from the list this month

Ticker	Name	Days on the List	July 2026	LTD Return Rel to SP500	LTD Return Rel to EW SP500	LTD Return Rel to Coverage	LTD Return Rel to GIC Sector	Date removed
AVGO	Broadcom Inc	208	3.1%	2.5%	-0.1%	0.4%	-9.4%	8/3
DKS	Dick's Sporting Goods Inc	208	-13.6%	-10.9%	-13.4%	-13.0%	0.6%	8/3
JNJ	Johnson & Johnson	457	0.9%	33.0%	39.6%	29.7%	51.2%	8/3
NOW	ServiceNow Inc	180	12.0%	-13.5%	-14.5%	-15.5%	-27.1%	8/3

¹ Total return for GS Rated North America Research coverage

² Hit rate is defined as the % of stocks that have outperformed the benchmark while on the list, since inception

Source: Goldman Sachs Global Investment Research, Bloomberg

What has worked

- **COP (+):** Neil Mehta previewed the company's Aug-6 earnings by raising his estimates and marking to market for oil prices in "[US Majors: Screen for Attractive Valuation and Free Cash Flow Growth; Highlight 18% Total Return to COP \(on Conviction List\)](#)". Mehta sees major project start-ups and cost savings supporting a clear path to ~\$7 bn in free cash flow growth by 2029 at \$70/b WTI and a ~20-25% free cash flow per share CAGR through 2030. This growth should also drive strong shareholder returns through the cycle, around ~45% of cash flow from operations, while competitive positions in Alaska, Canada, and the Lower 48 offer OECD exposure against Middle East volatility.
- **NOW (+):** Gabriela Borges reiterated her Buy rating and raised her price target (now \$152) post the company's 2Q beat where she pointed to more tangible evidence of AI use cases materializing. Borges continues to believe the single biggest driver of the stock rerating will be whether NOW can prove its relevance in the enterprise AI stack. She discusses this in [Now: 2Q26 EPS: The AI use cases are becoming more tangible](#).
- **EL (+):** The perfume maker benefited from a rotation out of Tech and into Consumer Staples over the course of July and Bonnie Herzog also highlights how sales trends in China appear to be stabilizing ahead of 2Q results scheduled for Aug-19 as she writes in a Jul-8 sector preview note, "[Consumer Staples: Key takeaways from IR catch-ups and our thoughts ahead of Q2 results](#)."

What has not

- **NXT (-):** The renewable energy equipment supplier reported a strong F1Q27 quarter as Brian Lee highlights in [NXT: Strong demand and execution drives another beat and raise; growing breadth positions for acceleration and upside to long-term targets; Buy](#). Despite strong bookings and backlog (traditional leading indicators for the business), shares seemed to succumb to the AI infrastructure unwind in the month.
- **CLS (-):** The hardware solutions providers for hyperscalers and others saw its stock dragged down with the AI momentum sell-off. But CLS regained some of its July loss following a strong set of results which Micheal Ng walks through in "[CLS: 2Q26 review: Higher 2027E estimates on OpenAI, AMD programs and supply availability](#)."

What has changed

With this update we add Applied Materials (AMAT), Delta Airlines (DAL), Microsoft (MSFT), O'Reilly Automotive (ORLY), Viking Holdings (VIK), and United Parcel Service (UPS) while removing Broadcom (AVGO), Dick's Sporting Goods (DKS), Johnson & Johnson (JNJ), and ServiceNow (NOW) – note that these stocks remain Buy-rated. As discussed in previous monthly updates, there are many reasons a stock could get removed from the list. They can include (but are not limited to) analysts no longer having conviction in their idea (e.g., a downgrade), price realization, the passage of catalysts or the subcommittee believing there are better opportunities elsewhere. In short, names will be removed if the committee determines a name is no longer a top investment idea (list will target 20-25 Buy-rated stocks) across the Americas coverage.

Importantly, inclusion on this list is not a stock rating and addition to or removal from this list does not necessarily represent a change in the analyst's investment rating for such stock.

Exhibit 3: Conviction List Changes since July 1, 2026

Ticker	Name	FY2 EPS %	PT %
APD	Air Products and Chemicals Inc	2%	1%
CFG	Citizens Financial Group Inc	1%	9%
CLS	Celestica Inc	39%	6%
COP	ConocoPhillips	0%	1%
CSL	Carlisle Cos Inc	6%	6%
CWST	Casella Waste Systems Inc	-2%	0%
DASH	DoorDash Inc	-1%	0%
GLNG	Golar LNG Ltd	-21%	0%
IBKR	Interactive Brokers Group Inc	6%	12%
LOAR	Loar Holdings Inc	0%	2%
NXT	Nextpower Inc	8%	-16%
TSN	Tyson Foods Inc	-1%	0%
UNH	UnitedHealth Group Inc	8%	13%
XYZ	Block Inc	2%	8%

CL Additions		Date
AMAT	Applied Materials Inc	8/3/2026
DAL	Delta Air Lines Inc	8/3/2026
MSFT	Microsoft Corp	8/3/2026
ORLY	O'Reilly Automotive Inc	8/3/2026
UPS	United Parcel Service Inc	8/3/2026
VIK	Viking Holdings Ltd	8/3/2026

CL Removals		Date
AVGO	Broadcom Inc	8/3/2026
DKS	Dick's Sporting Goods Inc	8/3/2026
JNJ	Johnson & Johnson	8/3/2026
NOW	ServiceNow Inc	8/3/2026

Source: Goldman Sachs Global Investment Research, Bloomberg

Anatomy of the List

Top 5 Snapshot

While our Conviction List process focuses on stocks where our analysts expect strong risk-adjusted returns, we recognize there are a broad range of investing styles across portfolio managers. Below, we highlight the top five stocks from the current Conviction List across four major metrics: Upside to 12-month price target, Upside to next year's consensus EPS, FY2 Revenue growth and current Dividend Yield.

Exhibit 4: The Conviction List contains stocks that are attractive across a number of metrics Top 5 by fundamental metric

Upside to price target		Upside to consensus EPS		Revenue Growth		Dividend Yield	
NXT	57%	CLS	13%	CLS	90%	UPS	6%
CLS	52%	TPG	9%	AMAT	48%	TPG	5%
LOAR	49%	EL	8%	DASH	21%	TSN	4%
TPG	44%	XYZ	7%	VIK	21%	COP	3%
DASH	43%	GLNG	6%	TPG	21%	CFG	3%

Source: Goldman Sachs Global Investment Research, Bloomberg

By the Numbers

Our Conviction List should not be viewed as a portfolio as we will not attempt to weight these stocks or ensure diversification across our stock coverage. That said, we will continue to provide some context of the list construction to give investors a taste of the independent investment ideas on the list.

Exhibit 5: By the Numbers

32% median upside to price target	2% median upside to consensus FY2 KPI	6% median FY2 revenue growth
17% % names with 50% or less Street Buy	91% % names with upside to FY2 KPI	1.1 median beta

Source: Goldman Sachs Global Investment Research, Bloomberg

Upcoming Catalysts

Below we provide a rolling calendar of select earnings that have the potential to drive investor sentiment toward our analysts' view.

Exhibit 6: Volatility expectations for Conviction List names on earnings

Option implied moves for upcoming earnings catalysts vs historical 8Q averages

Ticker	Date	Earnings-day move		Implied minus historical
		Current Implied +/-	8Q Avg actual +/-	
TSN	3-Aug	6%	4%	2%
TPG	4-Aug	8%	3%	6%
DASH	6-Aug	10%	6%	4%
XYZ	6-Aug	12%	9%	2%
LOAR	6-Aug	7%	6%	1%
COP	6-Aug	6%	2%	4%
CWST	7-Aug	8%	4%	4%
GLNG	13-Aug	9%	2%	7%
AMAT	14-Aug	18%	6%	12%
EL	19-Aug	11%	8%	3%
VIK	19-Aug	8%	5%	3%

Source: Goldman Sachs Global Investment Research, Bloomberg

Conviction List Explained – refrain

On June 1, 2023 we introduced this new investment list which highlights a selection of fundamental Buy-rated US stocks across the Goldman Sachs Americas Global Investment Research department. These ideas are sourced from our US research analysts, but chosen by members of our Investment Review Committee. This new ‘Conviction List – Directors’ Cut’ is designed to provide investors with a curated and active list of 20-25 of what we believe to be our most differentiated fundamental Buy ideas across our US stock coverage.

The subcommittee, which includes the Americas Director of Research and the other senior research managers listed as authors of this report, will collaborate with each sector analyst to identify top ideas that offer a combination of conviction, a differentiated view and high risk-adjusted returns. The subcommittee will then choose what they view as the top 20-25 ideas across the department for the list. We intend to refresh and publish the list monthly to allow the list to become part of the investment process of Portfolio Managers.

Importantly, we do not express thematic or factor views with this list. Rather, this list focuses on bottom-up fundamental analysis from our analysts. While our analysts will incorporate their view of macro impacts on the fundamentals of their stocks, we will not intentionally express factor, rates, inflation or other macro views in the construction of this list. Our analysts appropriately incorporate the impact of these factors in their estimates which are a critical component to our selection process.

Finally, inclusion on this list is not a stock rating and addition to or removal from this list does not necessarily represent a change in the analyst’s investment rating for such stock.

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Our 23 most differentiated Buy recommendations

The company specific discussion in the sections below reflect the views of the covering analyst.

Exhibit 7: Conviction List - Directors' Cut

Ticker	Company	Summary
Consumer		
EL	Estee Lauder Cos Inc/The	Topline growth inflector in a strong growth category
ORLY	O'Reilly Automotive Inc	Playing offense in a defensive business
TSN	Tyson Foods Inc	Diversified portfolio with leverage to the hottest area of food
VIK	Viking Holdings Ltd	Best in-class growth profile in a choppy cruise macro
Financials		
CFG	Citizens Financial Group Inc	Best-in-class operator that is only getting better
IBKR	Interactive Brokers Group Inc	Steady, structural growth opportunity in traditional retail brokerage
TPG	TPG Inc	Sustainable growth platform at a discounted valuation
WFC	Wells Fargo & Co	Top-line grower with operating leverage
Healthcare		
UNH	UnitedHealth Group Inc	Shrink to grow insurer on the cusp of a pro-cyclical EPS reacceleration
Industrial		
APD	Air Products and Chemicals Inc	A return-to-core company in a strong core end market
CSL	Carlisle Cos Inc	Value stock on the cusp of an earnings growth inflection
CWST	Casella Waste Systems Inc	Sustainable growth, with margin expansion ahead
DAL	Delta Air Lines Inc	Best-in-class airline in a structurally better industry
LOAR	Loar Holdings Inc	Early stage aerospace M&A compounder
UPS	United Parcel Service Inc	A revenue and profit inflection story with a solid core
Natural Resources		
COP	ConocoPhillips	Big oil shifting to harvest mode
GLNG	Golar LNG Ltd	Underappreciated, catalyst-rich growth story with dependable economics
NXT	Nextpower Inc	Emerging technology platform provider in the electrification industry
TMT		
AMAT	Applied Materials Inc	Technology and market leader in a market desperate for what it sells
CLS	Celestica Inc	Scaled tech hardware provider with a design kicker
DASH	DoorDash Inc	Online delivery leader with leverage to a healthy consumer looking for everything to be delivered
MSFT	Microsoft Corp	Hyperscaler ready to go up again
XYZ	Block Inc	A cash generating share gainer in Fintech with mid-teens growth and an AI productivity enhancement story

Source: Goldman Sachs Global Investment Research

Applied Materials Inc. (AMAT) – covered by Jim Schneider

Technology and market leader in a market desperate for what it sells

AMAT is positioned with the best equipment in the area with the greatest sustainable demand in the semis ecosystem, making for an outsized growth runway relative to peers. In particular, the company has outsized exposure to deposition and etch – the machines needed to make the smallest, most energy efficient, and feature-packed chips in advanced logic and stacked memory structures. AMAT's portfolio of critical tools provide it with a competitive advantage that should help it drive pricing power and gain share in the fastest-growing market segments such as DRAM and leading-edge logic.

- **Market leader with the best exposure to high-growth segments.** AMAT has very high exposure (over 65%) to deposition and etch, where we expect spending intensity to increase heading into 2027. This strong technology platform positions AMAT well to capture market share in the coming year, in potentially the fastest growing market segments – leading-edge logic, DRAM, and advanced packaging – all areas where AMAT has stronger market share.
- **The world needs more semiconductor manufacturing capacity.** If we have learned anything from these early years of the AI revolution, it is that the world does not possess enough capacity to build the compute power necessary to enable large language AI models of the future. And semi-cap equipment companies like AMAT sit at the epicenter of any effort to expand capacity. To this end, semi equipment growth guidance has been raised by ~1500bp to over +35% for CY26 – and wafer fab equipment (WFE) growth is expected to continue through CY28. Finally, deglobalization and critical material security initiatives suggest that duplicative capacity expansion is likely to occur down the road as countries build their own semiconductor manufacturing footprints.
- **Long-term pricing power.** The long-term, project-based pricing structure of semi cap equipment deals with foundries (chip manufacturers) suggests that AMAT could see a long tailed, gradual uplift to gross margins over the coming years as current higher pricing makes its way through product deliveries.

Where we are different.

Schneider's bottom-up analysis suggests that Applied Materials is well positioned to gain share at top DRAM players and leading foundries like TSMC – and has a strong foothold at emerging potential customers such as Terafab.

Valuation.

12-month price target of \$645 is based on a 32X P/E multiple applied to estimated normalized EPS of \$20.00 (AMAT is on pace to earn \$18.55 in 2027). Key downside risks: (1) incremental export restrictions; (2) local China-based supplier share gains.

Catalysts.

Hyperscaler capex plans and execution on these plans will be critical catalysts.

Relevant Research.

- Jul-5: “Semiconductors: 2Q Preview: Expect broad upside but run in stocks raises the bar; tactical ideas for earnings”
- May-14: “AMAT: Stock should continue to re-rate given strong guidance uplift and improving mix – Buy”
- May-4: “Semiconductor Capital Equipment: Can Semi Cap stocks still work from here? Mapping bull/bear WFE scenarios to valuation & raising WFE estimates”
- Mar-18: “Semiconductors: Silicon Valley Bus Tour Takeaways: AI-driven supply tightness continues, with timelines extending given improved visibility”

Related Podcasts.

- Jul-6: “Inside the Model: Focus on Semiconductors”
- May-6: “Research Unplugged: Decoding the Agentic Economy: The Coming Inflection in AI Usage and Margins”

Delta Air Lines Inc. (DAL) – covered by Catie O'Brien

Best-in-class airline in a structurally better industry

The US Airline industry is beginning to enjoy the pricing power that comes along with a steadily consolidating industry that has simultaneously been able to upgrade its offering within its planes to sustain higher revenue. And DAL is the best positioned airline in the industry to capitalize on these trends with an international and business customer skew that provides it with access to more customers that can pay more for flights in a global K-shaped economy. Additionally, DAL possesses a partial natural hedge against higher-for-longer jet fuel prices as it owns a refinery in Pennsylvania.

- **Pricing power as capacity squeezes.** The airline industry has been able to raise prices while sustaining volume demand even as jet fuel prices have soared in the wake of the Strait of Hormuz closure. Strong revenue trends have been bolstered by the industry's quick response to moderating supply and subsequent improvement in the competitive environment following Spirit Airlines' cessation of service in May. Illustrating this favorable industry dynamic, scheduled capacity for 2Q and 3Q has been cut materially vs. original plans, with 2Q and 3Q capacity now essentially flat year-over-year while demand (as measured by TSA passenger throughput) is up ~1%. Cuts were made across the industry with the reduction also reflecting Spirit's removal — a removal that also is likely to have an outsized impact on pricing since Spirit was frequently the marginal carrier of lowest priced seats. Finally, while Catie O'Brien expects airlines to add back a portion of the utilization flying they cut earlier this year if fuel prices decline and stabilize, her analysis on 4Q26 capacity points to the airlines remaining more disciplined than current schedules imply.
- **More legroom = higher revenue.** In its 2Q26 commentary, DAL management indicated that unit revenue performance accelerated over the course of the quarter with the June exit rate significantly higher than April performance, also noting cash sales further out in the booking curve are outperforming still strong close-in bookings. DAL also continues to skew growth plans to premium seats, which produce relatively higher margins than main cabin, and management noted that 2027 growth will be driven by premium seat growth once again.
- **Cash is king.** DAL produced \$1.4 billion of free cash flow in 1H26 and remains on pace to generate \$3-\$4bn of FCF for all of 2026, despite a fuel bill that will likely be \$4+ bn higher-than-expected at the start of the year. With a focus on near-term debt reduction, look for gross debt-to-EBITDAR to fall to ~2X by year-end 2026. And as the company approaches its long-term gross leverage target of 1X increased shareholder returns could become a bigger priority. To that end, the Board approved a 15% increase to the dividend starting in 3Q26.

Where we are different.

In 2026, DAL's cost structure was challenged by close-in capacity cuts to address the surge in fuel prices and investments to enhance operational performance. In 2027 O'Brien expects unit cost inflation ~1.5 points below consensus as the company is better able to match overhead to capacity and laps operational investments. Over the

longer-term, O'Brien expects DAL to outperform on unit costs vs. peers as DAL's primarily non-union labor force already has top of market contracts, large airport investments are behind them, and wholly owned Delta Tech Ops drives maintenance cost savings. Cost control coupled with an improving industry pricing structure and DAL's continued push into higher margin premium products will drive 300 basis points of margin expansion over the next two years. O'Brien expects improved earnings durability in the face of 50% higher fuel coupled with best in industry margins and balance sheet to drive a re-rating in the stock.

Valuation.

12-month price target of \$116 is based on a normalized EBITDAR valuation multiple of 5.2x estimated normalized EBITDAR of \$15.7 billion. Key risks include (1) macro backdrop pressures demand for premium product, (2) any potential future delivery disruptions to Airbus or Boeing orderbook, and (3) a sharp downturn in corporate travel demand, which Delta has higher exposure to vs. US peers.

Catalysts.

O'Brien anticipates investor attention around conference appearances over the fall where Delta could update on pricing and fuel recapture for 2026, and more clarity on the medium-term outlook in conjunction with 3Q results in October.

Relevant Research.

- Jul-21: ["Airlines: Framing the downside bias to 4Q 2026 capacity growth"](#)
- Jul-10: ["DAL: 2Q beat; slightly raising 2026 outlook on better revenue trends despite higher jet fuel"](#)
- Jul-7: ["Evolving Traveler Series: Takeaways from GS Travel Network Round Table"](#)
- Jul-1: ["Airlines: Raising outlook on stronger revenue trends and lower fuel; downgrade SKYW to Neutral"](#)
- May-27: ["Evolving Traveler Series: Takeaways from Inaugural GS Travel Network Round Table"](#)
- Apr-15: ["Airlines: Digging in on continued strong demand for air travel in an uncertain geopolitical backdrop"](#)
- Mar-19: ["Airlines: Spirit fleet adjustments could drive downside to capacity; tighter supply/demand boosts pricing power"](#)
- Mar-11: ["Takeaways from the 2026 ISTAT Americas Conference"](#)
- Feb-13: ["GS Airport Volume Heatmap - January 2026 Update"](#)

Related Podcasts.

- Jun-22: ["Inside the Model: Focus on Airlines"](#)
- Mar-17: ["On the Road with Goldman Sachs: Going Global: Aviation & MedTech from California to China"](#)

Microsoft Corp. (MSFT) – covered by Gabriela Borges

Hyperscaler ready to rise again

Broadly speaking, the AI revolution is moving from a trade focused on training and infrastructure to the early stages of 'how to make AI work in enterprises.' And MSFT is ideally positioned to deliver the AI solutions and integration that enterprises want and need – leveraging on its 50 year legacy of being the premier enterprise Tech company in the world. MSFT can provide the layer that marries AI models with business-specific context, and dynamically route across AI models to drive cost in any given performance envelope. They already have the security, reliability, and controls to gain the confidence of discerning enterprise customers. And MSFT is ramping a team of 'frontier engineers' that help to make it easier to climb the AI hill in a range of enterprise environments. June quarter results provided a meaningful step in reversing the stock's multi-quarter period of underperformance, as MSFT delivered tangible proof points across several key investor debates, including: Azure acceleration; improving AI unit economics; and increasing evidence of Copilot monetization. Look for improved monetization to drive EPS growth acceleration over the next three years, from 12% in FY27E to >20% in FY29E.

- **Datacenter monetization drives improving returns.** Azure revenue is accelerating as a function of new capacity coming online, a stable mix between capacity for third-party services vs. internal use cases, and better monetization. This monetization includes ongoing block-and-tackle to drive compute efficiencies, and thoughtful pricing and packaging (including CPU-based cross sell and more sophisticated platform services). The next catalyst to watch is silicon diversification, as Borges believes MSFT may make another step function improvement in its internal silicon program over the next two years.
- **Making AI work in enterprises is MSFT's sweet spot.** MSFT has guided Microsoft 365 Commercial (the core Microsoft Office suite) to accelerate through the next 4 quarters. Borges' industry conversations suggests that MSFT directly addresses some of the key bottlenecks to making AI applications effective in the enterprise. These solutions include 1) dynamically routing between AI models to maximize performance and minimize cost; 2) adding business-specific context, by leveraging their existing workflow footprint and deploying engineers to actively solve data problems; 3) security, reliability and governance controls.
- **The promise of Copilot realized.** Copilot is showing stronger adoption under E7 and Copilot Cowork, and MSFT has early proof points that consumption-augmented pricing works for both Github Copilot (coding) and Copilot for knowledge workers. MSFT exited its June quarter with more than 30 million paid Copilot seats, with ~10 million net seat adds during the quarter, roughly twice what it added in the March quarter — highlighting the accelerating take-up of paying customers. Several indicators suggest deployments are broadening, and that the compounding effect of product innovation is driving higher usage, including rising user satisfaction scores.

Where we are different.

- **Capex:** In a supply constrained environment, MSFT allocates compute between

Azure customers, its own internal AI projects, and supporting its AI applications like Copilot. Borges believes these AI apps have structurally better unit economics than Azure today. This makes a more simplistic framework of mapping capex to Azure growth less helpful – but ultimately trades near term predictability for a stronger long term competitive position. She maintains an estimate of allocations across Azure AI, 1P applications, internal R&D and maintenance capex for more granular estimates on both capex and Azure growth over the next 2 years.

- **Gross and operating margin:** Borges believes supply constraints are prompting a maniacal focus on hardware, software, and human capital efficiency: margin targets do not change simply because components pricing is higher. MSFT believes that gross margins on Azure AI can reach pre-AI highs for the traditional Azure business (she estimates from low 30s today to high 60s in a 5–7 year timeframe) and her industry work helps validate this assumption. Meanwhile, gross margins on classic cloud continue to move higher, and MSFT bears minimal LLM token costs beyond the compute needed to process them, given its ability to pick and mix models based on price/performance. Borges believes the sophistication of MSFT's demand planning by workload and its renewed focus on cost controls company-wide could drive a reasonable upside scenario where FY28 operating income is 5% above the Street.

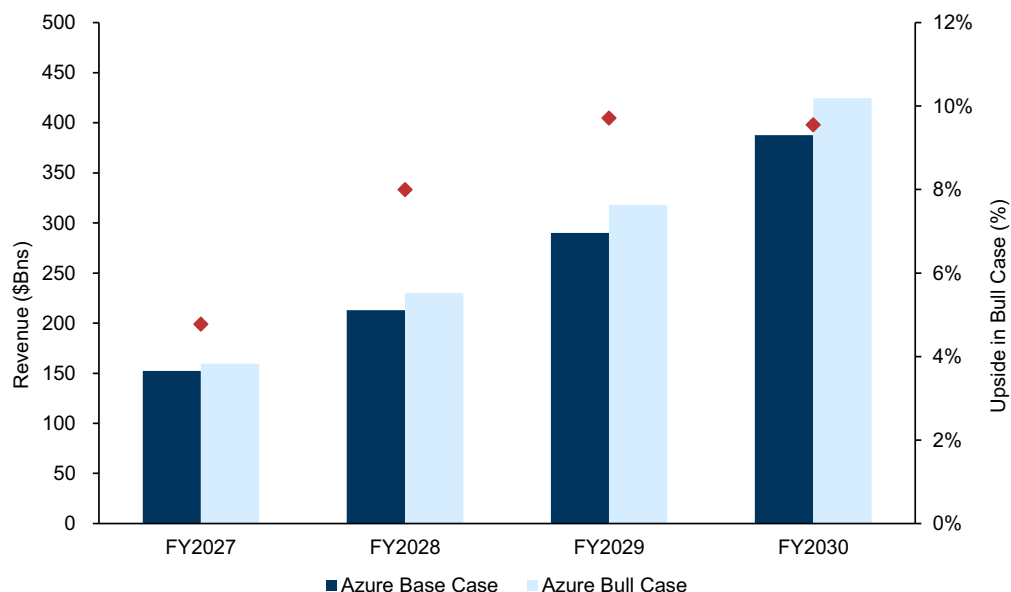
Valuation.

12-month price target of \$640 is based on a 28x target P/E multiple of adjusted NTM net income. Risks include: execution in Copilot, longer ramp for internal silicon which can limit market share gains or gross margin expansion, greater investments in projects outside of expectations (e.g., non-Azure), and a more meaningful shift to custom software that could negatively impact its applications business.

Catalysts.

Key catalysts include: 1) Accelerating M365 revenue growth, catalyzed by improving Copilot performance and E7 adoption; 2) Upside to Street expectations for Azure revenue and margins, driven by ongoing capacity ramps and monetization/efficiency efforts; and 3) New benchmarks indicating progress on MSFT's internal silicon strategy and internal AI models.

Key Chart.

Exhibit 8: Azure capacity and monetization levers could drive 4-10% upside to Borges' Azure forecast

Source: Company Data, Goldman Sachs Global Investment Research

Relevant Research.

- Jul-29: ["MSFT: 4QFY: Microsoft's role is increasingly strategic as enterprises move from frontier models to frontier ecosystems"](#)
- Jul-8: ["MSFT: Four Key Themes into 4QFY EPS"](#)
- Jun-7: ["Software: Nine Conversations in Silicon Valley last week: MSFT, SNOW, Security, Robotics"](#)
- May-5: ["Decoding the Agentic Economy - The Coming Inflection in AI Usage and Margin"](#)
- Feb-22: ["MSFT: Maia 200, an updated inference cost curve, and implications for Microsoft's internal silicon strategy"](#)

Related Podcasts.

- Jun-25: ["On the Road with Goldman Sachs: Innovation Conflagration from Software to Rx"](#)
- May-6: ["Research Unplugged: Decoding the Agentic Economy: The Coming Inflection in AI Usage and Margins"](#)
- Apr-27: ["Inside the Model: Focus on Software"](#)
- Apr-16: ["On the Road with Goldman Sachs: AI & the Valley: Software & Internet – from Public to Private"](#)

O'Reilly Automotive Inc. (ORLY) – covered by Kate McShane

Playing offense in a defensive business

Kate McShane believes the auto parts retailer is well-positioned relative to peers, is gaining share in the “Do it for Me” (DIFM) market, and is taking advantage of recent share pressure by accelerating share repurchases, while simultaneously reinvesting in the business, both of which should aid EPS growth in the near and longer term.

- **Well-positioned in a challenging macro.** Higher fuel prices and the lapping of price inflation have weighed on auto parts retailers this year, but McShane believes this concern is overdone given the defensive nature of the business — consumers need their products to ensure their cars run. Against this backdrop, McShane believes ORLY is well-positioned given its scale, limited overlap with peers, pricing power, and strong execution.
- **Share Gainer.** ORLY is gaining share in both the DIY and the faster growing DIFM markets. And while McShane thinks comp trends could slow in 2H26 as the company laps last year's stronger tariff-related ticket growth, she still expects DIFM comps in the high-single digits, with mid-single-digit transaction growth accompanied by low single-digit ticket growth, and DIY comps that range from flat to increasing in the low single-digits, with LSD ticket growth offsetting a decline in transactions.
- **Capital Allocation Opportunities.** ORLY has repurchased \$3.1bn worth of shares year to date, including \$1.5bn during 2Q (the company's largest ever single-quarter purchase volume and largest as a % of T4Q FCF since 2Q17) and \$632mn subsequent to quarter-end. This represents a sharp acceleration in share repurchases, and McShane believes it highlights the company's willingness to be both programmatic and opportunistic when repurchasing shares, taking advantage of the stock's multiple compression year to date. She estimates the company could add up to ~\$1.5bn in leverage to support share repurchases, while free cash flow guidance of \$1.8bn–\$2.1bn for FY26 implies an additional \$300mn–\$600mn. McShane models the repurchase of 36mn shares over the next four quarters, contributing an estimated \$0.08 or 2% EPS growth over the period.

Where we are different.

While most investors would agree O'Reilly is defensive and a best in class retailer, McShane thinks the competitive landscape and the share opportunity is still debated. She recently refreshed her store overlap analysis for the three main auto part retailers and note a more favorable positioning competitively for O'Reilly stores: when compared to peers Advance Auto Parts and AutoZone, she notes that O'Reilly also has less competition within a five/ten mile radius of their store base, with 82%/88% of stores having an AutoZone store within five/ten miles and 54%/61% having an Advance Auto Parts store within the same distance. This compares to 85%/89% of AutoZone's store base having an O'Reilly store within five/ten miles, and 66%/71% for an Advance Auto Parts store.

Valuation.

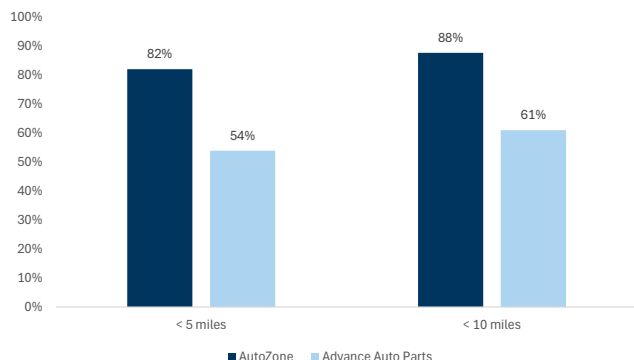
12-month price target of \$113 is based on downside/base/upside case relative P/E multiples of 120%/130%/140%. Key risks include: demand headwinds, particularly for discretionary categories, due broader macro headwinds; slower-than-expected DIFM growth; elevated inflation in certain non-controllable expenses; higher distribution costs related to supply chain headwinds and labor cost increases; operating margin risk as DIFM penetration increases and investments in recruiting/retaining talent; purchase deferral and other DIY demand headwinds; and unfavorable weather trends.

Catalysts.

The next catalyst is likely when its peers, AAP and AZO report in late Aug/early September, given their prints are a little bit later (and further into ORLY's quarter).

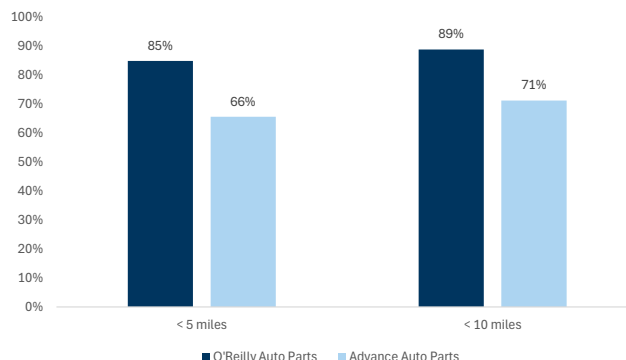
Key Charts.

Exhibit 9: % of O'Reilly Auto Parts Locations within X Miles of Select Competitors



Source: Placer.ai, Goldman Sachs Global Investment Research

Exhibit 10: % of AutoZone Locations within x Miles of Select Competitors



Source: Placer.ai, Goldman Sachs Global Investment Research

Relevant Research.

- Jul-30: "ORLY: Comp trends to slow in 2H but DIFM share gains should remain a tailwind; SG&A spending in spotlight"
- Jul-13: "ORLY: Estimating the potential accretion to ORLY's FY27 EPS if GPC's auto business were to be acquired"
- Jun-26: "ORLY: Alternative data suggests a potentially stronger 2Q than peers; Expect share gains to continue"
- Jun-15: "Retail: Takeaways from IR/management; Company commentary on freight and inflation; BBWI and ULTA channel check"
- Apr-28: "State of the US Consumer: Lowering our DCF outlook based on lower disposable income expectations"

Related Podcasts.

- May-5: "Inside the Model: Focus on Retail"
- Apr-8: "Research Unplugged: State of the US Consumer into Spring 2026 and Beyond"

Viking Holdings (VIK) – covered by Lizzie Dove

Best in-class growth profile in a choppy cruise macro

In a world where there has been uncertainty around cruise and the consumer more generally, Lizzie Dove believes that VIK's differentiated geographic exposure and higher-income demographic should more than offset a choppy cruise environment. Look for VIK to continue to deliver best-in-class pricing growth and top of best-in-class capacity growth through 2H26 and into 2027.

- **Attractive (and growing) Demographic.** VIK's core demographic consists primarily of affluent travelers from the US aged 55+, a cohort that is the fastest growing segment of the US population, with a growing share of total US wealth, and one that is underserved by the broader travel market. VIK's exposure to a rapidly growing population should increase its total addressable market opportunity, while also giving it positive exposure to a customer cohort with greater financial stability, more willingness to invest in higher-priced travel experiences, and one where a large percentage of guests are retired/approaching retirement who have flexible schedules and can book early. VIK's core demographic and clearly identifiable brand has driven very strong customer loyalty, with VIK's repeat guest percentage increasing from 27% in 2015 to 53% in 2024.
- **The right geographic exposure.** VIK is set to grow its capacity at a ~9% CAGR from 2025-2028, the highest among its peers and the broader industry, partially driven by growth in its Ocean segment. However, only 4% of its Ocean cruises are in the Caribbean – an area where there has been concerns about there being too much capacity. Despite adding capacity in both Ocean and River, VIK has maintained its pricing power. VIK added +15% capacity growth in 2027, meaning VIK's revenue algo of best-in-class yield growth with best-in-class capacity growth is in a league of its own and well ahead of any other cruise operator.
- **Strong Growth Algo.** Look for VIK to maintain pricing power into 2027, in addition to the acceleration we've seen so far this year. While there's certainly a mix benefit, with an outsized impact from higher-yielding itineraries in 2027 which are typically the first to book, at least MSD% net yield growth appears comfortably achievable on top of 15% capacity growth. Additionally, with minimal Caribbean capacity (only 4% of Ocean itineraries) and a higher end customer demographic, VIK remains more insulated than peers.
- **Dry Powder.** While VIK has not given any indication of reinstating buybacks, the company has been building a large cash reserve (Dove models \$6.5bn by 2028E) with net debt currently turning negative in her model in the next two years. While she acknowledges that the timeline of any potential capital returns program is unknown, and that VIK has also expressed interest in tuck-in M&A, VIK's strong balance sheet and large cash reserve, a buyback program could unlock material value for the stock.

Where we are different.

Dove's estimates are above consensus across key financial metrics. She continues to

believe the market underappreciates the multi-year durability of VIK's best-in-class algo and buyback capacity over time, with her work on mix improvements from the addition of higher-priced Egypt and India itineraries supporting multi-year, structural MSD% net yield growth.

Valuation.

12m price target of \$120 is based on a 50%/50% mix of 20X 2027E EV/EBITDA and 27X 2027E P/E multiples. Key risks include: A weaker macro environment could lead to a sustained pullback in consumer demand for all leisure travel. However, if consumer demand were to strengthen materially, it would be possible for VIK to outperform our forecast. If the company were to generate less FCF than expected in coming years and increase their leverage meaningfully, we could see this driving shares below our current forecasts. If supply were to increase meaningfully ahead of Dove's forecast, pricing could be negatively impacted and lead to VIK underperforming/outperforming our forecast. The volatility and sustained increases in fuel prices can reduce the margin improvement and leverage that VIK can get from pricing improvements. Unforeseen factors such as sickness, hurricanes, mechanical failures and geopolitical risk can reduce earnings below our forecast.

Catalysts.

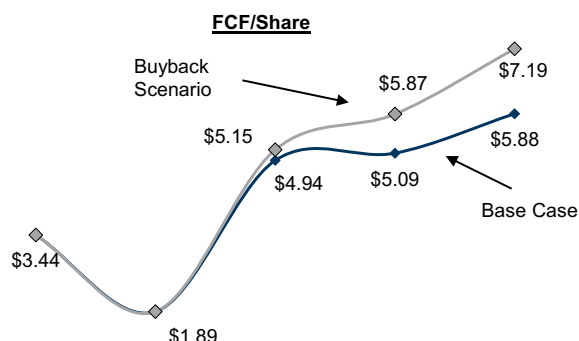
3Q results in mid-late August, where Dove expects a strong update for the 2027 curve.
(2) A buyback announcement over the next 12 months given leverage reaches 0X on our numbers with >\$5bn cash on the balance sheet.

Key Chart.

Exhibit 11: Illustrative buyback scenario suggests VIK could buy \$9bn stock from 2027-2029 while maintaining ~1X net leverage

FCF/sh CAGRs (2026-2029E)	
Base Case	45.9%
Buyback Scenario	56.0%

EPS CAGRs (2026-2029E)	
Base Case	20.6%
Buyback Scenario	28.9%



	2025	2026E	2027E	2028E	2029E
EPS					
Base Case	\$2.61	\$3.29	\$4.42	\$5.02	\$5.77
Buyback Scenario	\$2.61	\$3.29	\$4.61	\$5.80	\$7.06
EPS Growth					
Base Case	40.4%	26.1%	34.3%	13.5%	15.0%
Buyback Scenario		26.1%	40.1%	25.7%	21.7%
Net Debt/EBITDA					
Base Case	1.1x	0.7x	-0.1x	-0.8x	-1.4x
Buyback Scenario	1.1x	0.7x	1.0x	1.2x	1.2x
Annual Buybacks					
Base Case	\$0	\$0	\$3,000	\$3,000	\$3,000
Buyback Scenario	\$0	\$0	\$3,000	\$6,000	\$9,000

On our estimates, VIK could repurchase ~\$9bn stock from 2027-2029, which would take 2028 EPS to \$5.80 and 2029 EPS to >\$7 while remaining at ~1x leverage

Source: Company data, Goldman Sachs Global Investment Research

Relevant Research.

- Jul-30: “[Cruise: NCLH 2Q26 Review: Turnaround story a multi-year process, with 2027 net yield growth a show me story; PT to \\$15](#)”
- Jul-13: “[2Q26 Cruise Preview: Focus on near-term trends and setup for 2027](#)”
- May-14: “[VIK: 1Q26 Review: Best-in-class algo with 2027 curve well ahead of expectations; Raise PT to \\$95](#)”
- Mar-13: “[VIK: Key takeaways from Investor Event aboard the Viking Honir](#)”
- Dec-9-25: “[Cruise: Addressing the short-term and long-term debates about cruise; VIK up to Buy and NCLH down to Neutral](#)”

Related Podcasts.

- Jun-10: “[Research Unplugged: Previewing the 2026 FIFA World Cup – from Macro to Micro](#)”
- Jun-8: “[Inside the Model: Focus on Lodging & Leisure](#)”
- Apr-8: “[Research Unplugged: State of the US Consumer into Spring 2026 and Beyond](#)”
- Mar-11: “[On the Road with Goldman Sachs: Hotels & Biotech from Coast to Coast](#)”

United Parcel Service Inc. (UPS) – covered by Jordan Alliger

A revenue and profit inflection story with a solid core

UPS is on the cusp of a sustained revenue and profit inflection following three years of erosion, as it has finally weaned itself off the lower margin portion of its Amazon shipping contract, reset and rightsized its network to take out significant structural cost, and is embracing technology and network enhancements that put it on a much smoother road to productivity, and in turn profit growth. Look for business gains with higher margin SMB, healthcare, and even datacenter customers, plus revenue capture related to global complexity to help drive a sustained 4%-6% annual increase in revenue through 2028 — this following a 12% aggregate loss of revenue over the past 3 years. Leveraging its strong in-place network and shipping assets look also for UPS to grow EBITDA by over 20% over the next 3 years, recapturing much of the profitability it lost from 2023 through 2025. Against this backdrop, look for EPS to grow to \$9.00 in 2028 from less than \$7 in 2025, providing a strong roadway for stock price appreciation even if the stock struggles to expand its 'depressed' NTM P/E multiple of 13.4X.

- **Top-line growth inflection.** In 2Q26, UPS grew revenue meaningfully for the first time since late 2024, putting the company on pace for what Jordan Alliger estimates will be 4% topline growth for FY26 — its first revenue growth year since 2022. The drawdown from Amazon is a key driver behind better revenue quality as yields move higher. In 2Q26, domestic volumes continued to decline (~3%) but yields, a proxy for price, grew by 9% (more than half from price/mix) highlighting the mix shift that is taking place within the company's shipping platform. In particular, UPS management indicated that it is replacing some of the excess capacity left by AMZN package removal with higher margin packages from SMB and Healthcare customers — target clients that should endure. International revenue also grew by 4% as we began to lap the headwind of new tariffs on small packages coming into the US from international retailers and goods producers that were introduced last year.
- **Mix shift + cost cutting + fixed asset and technology leverage = outsized profit growth.** As the company executes on driving premium revenue growth on a lower cost base, margin expansion should follow. And in the 2Q, we began to see evidence of this margin improvement coming through (domestic margin up 100 bp YOY). In 2025, UPS laid out plans to cut \$3.5bn of costs through network reconfiguration and efficiency re-imagined at the same time as it drew down a significant portion of the packages sourced by Amazon (reducing package footprint by ~2mm packages per day; with revenue exposure now at 9% from over 13% previously). With 2Q results, we appear to be starting to see the fruits of this plan. Looking ahead, Alliger anticipates that UPS can take out its planned additional \$3bn of costs in 2026 (\$1.2bb already achieved YTD) from its system by optimizing networks, consolidating facilities, and utilizing technology enhancements to automate terminals. Additionally, UPS reached a new contract agreement with its unionized workers exactly 3 years ago and UPS continues to work to mitigate headwinds from higher wages through eliminating operational positions no longer needed and its Driver Choice payout program, providing a further cleaner path to margin expansion by bending down the cost curve where possible.

- **Oligopoly like power – The Big Three Dominate Globally.** While UPS has struggled fundamentally and as a stock over the past 3 years, it still operates in a critical industry tied to global trade — an industry that is heavily consolidated. UPS is one of just three global companies who move goods as a globally integrated network on a time-definite basis for both B2B and B2C (along with FDX and DHL). Such a consolidated industry structure should encourage price discipline, especially as the volume freight headwinds of deglobalization efforts dissipate and the volume-enhancing tailwinds of a world looking to duplicate manufacturing capacity for 'security' reasons kick in.

Where we are different.

Alliger disagrees with the view that there is limited secular top-line prospects for parcel delivery. He takes the opposite stance in the near- to medium-term because he thinks that there should be significant B2B opportunity in the United States as we emerge from the industrial/manufacturing recession – and UPS stands to be a prime beneficiary as a true integrated network with the capability to deliver across the US with the tight time commitments needed to manage inventory flows; to be supported by secular opportunity in complex healthcare logistics and SMB penetration. At the same time, in the long run the overall company should be supported by global supply chain complexity, which he thinks bolsters the opportunity for a step up in growth in supply chain solutions and international package moves as we shift from China only to China plus 1 plus two, etc.

The reduction in lower margin Amazon business plus a view that UPS can compete effectively against Amazon, and other regional delivery providers along with various self-help initiatives has Alliger's forecasts modestly above FactSet consensus in 2027 and 2028.

Valuation.

12-month price target of \$132 is based on a ~15.5x target P/E multiple applied to Q5-Q8 EPS estimates of \$8.55. Risks include: (1) a material slowdown of the economy; (2) tariff headwinds; (2) competition from new entrants; (4) peak shipping season disruptions; (5) an inability to absorb higher costs from its new(ish) labor contract with its unionized labor force; (6) execution around cost-cutting initiatives, and 7) final drawdown versus cost out timing related to Amazon drawdown.

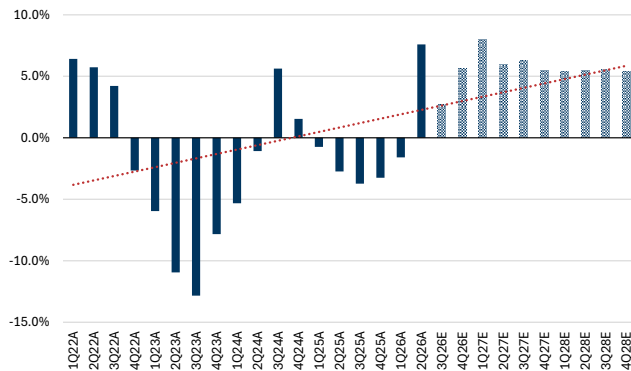
Catalysts.

Key catalysts include: 1) Domestic margin repair in 2H2026 translating to YOY margin improvement proving out the notion that ex-Amazon domestic margin should be structurally improved; 2) Ability to produce positive volume growth on an Ex-Amazon drawdown basis over the 2H26 demonstrating that efforts to penetrate other markets is underway; 3) Continued demonstration of price power through ongoing yield growth; 4) Peak season that is at least inline with typical peak seasonality, as well as ability of UPS to deliver packages on-time and profitably despite the various network changes; 5) Step up in international margin from the 3Q to 4Q as we lap Global deminimus changes and due to an estimated step-up in highly profitable China to US and Asia to US trade lanes post last year's tariff quagmire; and 6) Demonstrate that UPS can deliver RPP (revenue per piece) greater than CPP (cost per piece) with a spread of 50-100 bp – proving out

the benefits of the permanent cost out as well as tech initiatives and automation.

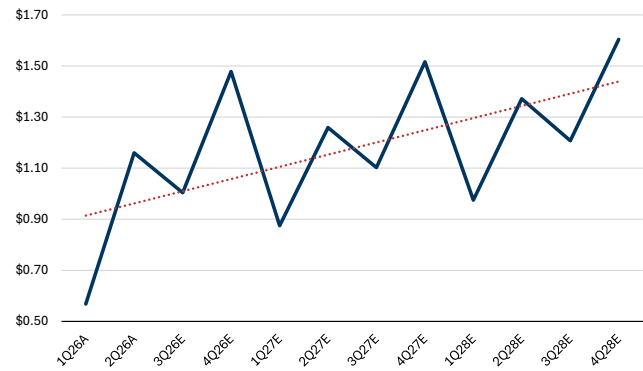
Key Charts.

Exhibit 12: UPS Revenue YoY



Source: Company data

Exhibit 13: Domestic EBIT \$ per Package



Source: Company data

Relevant Research.

- Jul-28: ["UPS: 2Q26 EPS Beat; Domestic Margin Looks to Improve in 2H; Buy on Improved Profit Runway"](#)
- Jul-16: ["Transportation: 2Q26 Rail and Logistics Preview: Earnings Upgrades Continue; Thoughts on Early Greenshoots"](#)
- Jun-4: ["Transportation: Thoughts Post Atlanta Logistics Field Trip to SAIA and UPS"](#)
- May-4: ["Eye on Freight: Amazon Weighs On Transport Shares - But Fundamentals Today Should be in Focus"](#)
- Jun-23, 2025: ["UPS: Potential Framework: UPS and AMZN - The Glide Down"](#)

Related Podcasts.

- Jun-11: ["On the Road with Goldman Sachs: Logistics & Data Center Construction in Atlanta & Houston"](#)

Disclosure Appendix

Reg AC

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Gaming Corp., Carnival Corp., Choice Hotels International Inc., Hertz Global Holdings, Hilton Grand Vacations Inc., Hilton Worldwide Holdings, Hyatt Hotels Corp., Las Vegas Sands Corp., MGM Resorts International, Marriott International, Marriott Vacations Worldwide, Norwegian Cruise Line Holdings, Penn Entertainment Inc, Red Rock Resorts Inc., Royal Caribbean Group, Six Flags, Travel + Leisure Co., United Parks & Resorts Inc., Viking Holdings, Wyndham Hotels & Resorts, Wynn Resorts Ltd.

Company-specific regulatory disclosures

Compendium report: please see disclosures at <https://www.gs.com/research/hedge.html>. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

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Price target and rating history chart(s)

Compendium report: please see disclosures at <https://www.gs.com/research/hedge.html>. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

Target price history table(s)

Microsoft Corp. (MSFT)

Date of report	Target price (\$)	Closing price (\$)
30-Jul-26	640.00	451.10
30-Apr-26	610.00	407.78
29-Jan-26	600.00	433.50
11-Jan-26	655.00	479.28
31-Jul-25	630.00	533.50
20-May-25	550.00	458.17
01-May-25	480.00	425.40
24-Apr-25	450.00	387.30
10-Oct-24	500.00	415.84
26-Apr-24	515.00	406.32
25-Oct-23	450.00	340.67

Dick's Sporting Goods (DKS)

Date of report	Target price (\$)	Closing price (\$)
15-Jun-26	271.00	220.04
28-May-26	277.00	226.31
29-Apr-26	272.00	220.00
13-Mar-26	257.00	192.16
11-Dec-25	285.00	216.69
26-Nov-25	284.00	207.41
23-Sep-25	274.00	228.70
21-Apr-25	239.00	176.39
11-Mar-25	242.00	198.97
26-Nov-24	280.00	212.22
23-Sep-24	268.00	215.28
05-Sep-24	261.00	214.83
29-Jul-24	251.00	207.78
29-May-24	260.00	226.03
18-Apr-24	242.00	195.22
15-Mar-24	247.00	211.48
22-Nov-23	157.00	121.79
06-Oct-23	146.00	103.49
23-Aug-23	145.00	111.15

ServiceNow Inc. (NOW)

Date of report	Target price (\$)	Closing price (\$)
23-Jul-26	152.00	91.94
08-Jul-26	145.00	107.78
23-Apr-26	163.00	84.78
06-Apr-26	188.00	102.42
29-Jan-26	216.00	116.73
11-Jan-26	205.00	141.80
30-Oct-25	1,250.00	186.94
24-Jul-25	1,200.00	199.24
24-Apr-25	1,150.00	187.71
10-Apr-25	1,050.00	156.70
10-Jan-25	1,200.00	204.91
24-Oct-24	1,050.00	191.32
10-Oct-24	1,000.00	188.93

Broadcom Inc. (AVGO)

Date of report	Target price (\$)	Closing price (\$)
04-Jun-26	525.00	418.91
19-May-26	500.00	411.07
05-Mar-26	480.00	332.77
12-Dec-25	450.00	359.93
25-Nov-25	435.00	385.03
13-Oct-25	380.00	356.70
05-Sep-25	360.00	334.89
13-Aug-25	340.00	309.09
10-Jul-25	315.00	275.40
10-Jan-25	255.00	224.31
16-Dec-24	240.00	250.00
06-Sep-24	190.00	137.00
13-Jun-24	1,850.00	167.90

ServiceNow Inc. (NOW)

Date of report	Target price (\$)	Closing price (\$)
25-Jul-24	940.00	165.76
25-Jan-24	910.00	153.34
16-Jan-24	800.00	145.51

Broadcom Inc. (AVGO)

Date of report	Target price (\$)	Closing price (\$)
08-Mar-24	1,550.00	130.87
19-Jan-24	1,325.00	121.12

O'Reilly Automotive Inc. (ORLY)

Date of report	Target price (\$)	Closing price (\$)
01-May-26	113.00	96.67
05-Feb-26	112.00	92.86
23-Oct-25	121.00	98.27
25-Jul-25	108.00	97.66
24-Apr-25	1,422.00	90.14
07-Feb-25	1,380.00	87.78
25-Oct-24	1,258.00	79.68
25-Jul-24	1,222.00	72.86
25-Apr-24	1,210.00	70.28
08-Feb-24	1,170.00	68.06
26-Oct-23	1,022.00	61.44

Applied Materials Inc. (AMAT)

Date of report	Target price (\$)	Closing price (\$)
05-Jul-26	645.00	603.04
15-May-26	520.00	436.62
13-Feb-26	390.00	354.91
09-Jan-26	310.00	301.18
08-Oct-25	250.00	217.51
15-Aug-25	215.00	161.76
10-Jul-25	225.00	198.03
10-Jan-25	202.00	171.65
15-Nov-24	230.00	168.88
02-Oct-24	228.00	201.15
17-May-24	240.00	212.08
16-Feb-24	220.00	199.57
17-Nov-23	156.00	148.59
19-Sep-23	152.00	137.71
18-Aug-23	155.00	142.66

United Parcel Service Inc. (UPS)

Date of report	Target price (\$)	Closing price (\$)
28-Jul-26	132.00	105.53
16-Jul-26	128.00	117.18
28-Apr-26	127.00	103.94
16-Apr-26	123.00	105.06
27-Jan-26	125.00	107.20
28-Oct-25	119.00	96.36
08-Oct-25	116.00	86.25
29-Jul-25	121.00	90.84
30-Jun-25	124.00	100.94
29-Apr-25	126.00	96.73
09-Apr-25	133.00	99.66
31-Jan-25	147.00	114.23
09-Jan-25	166.00	126.76
25-Oct-24	167.00	137.43
09-Oct-24	162.00	133.00
24-Jul-24	165.00	128.53
10-Jul-24	176.00	135.65
23-Apr-24	178.00	148.87
30-Jan-24	175.00	145.06
26-Oct-23	193.00	138.21
11-Oct-23	197.00	155.30
12-Sep-23	200.00	156.57

Viking Holdings (VIK)

Date of report	Target price (\$)	Closing price (\$)
31-Jul-26	120.00	104.35
13-Jul-26	108.00	98.19
15-May-26	95.00	83.70
04-Mar-26	84.00	75.28
09-Dec-25	78.00	67.77
20-Nov-25	66.00	61.50
15-Oct-25	64.00	61.75
15-Jul-25	60.00	57.15
21-May-25	48.00	43.08
23-Apr-25	44.00	39.74
12-Mar-25	51.00	40.51
22-Jan-25	49.00	47.81

Delta Air Lines Inc. (DAL)

Date of report	Target price (\$)	Closing price (\$)
02-Jul-26	116.00	92.75
14-Jan-26	80.00	68.49
06-Jan-26	77.00	72.22
27-Aug-25	68.00	61.26
10-Jul-25	67.00	56.78
02-Apr-25	60.00	43.37
15-Nov-24	83.00	64.07
12-Jan-24	48.00	38.47
13-Oct-23	47.00	34.10

Johnson & Johnson (JNJ)

Date of report	Target price (\$)	Closing price (\$)
16-Jul-26	282.00	249.97
15-Apr-26	275.00	238.67
27-Feb-26	265.00	248.43
22-Jan-26	250.00	218.49
18-Dec-25	240.00	208.31
15-Oct-25	213.00	191.17
08-Oct-25	212.00	189.69
19-Sep-25	186.00	176.19
17-Jul-25	185.00	162.98

Delta Air Lines Inc. (DAL)

Date of report	Target price (\$)	Closing price (\$)
05-Oct-23	46.00	36.44
14-Sep-23	50.00	39.33
17-Aug-23	51.00	41.78

Johnson & Johnson (JNJ)

Date of report	Target price (\$)	Closing price (\$)
03-Jul-25	177.00	156.01
02-May-25	176.00	156.12
08-Apr-25	172.00	150.00
23-Jan-25	157.00	146.64
10-Jan-25	158.00	142.06
16-Oct-24	159.00	164.28
08-Oct-24	162.00	159.69
18-Jul-24	155.00	155.42
30-May-24	160.00	145.28

Price targets shown in table(s) are unadjusted for corporate actions.

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